AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

APRIL/ MAY 2017

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

AKU May Examination 2017

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are EIGHT questions. Answer ALL questions. Questions 7 & 8 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 7 Marks)

The given table shows the employment details of country **A** over a period of 10 years.

Employment data from 2006 to 2015 for country **A** is

Sector	Percentage of Labour Force Employed	
	2006	2015
Primary sector	25	15
Secondary sector	45	39
Tertiary sector	26	40
Unemployed as %age of labour force	4	6

The labour force for the country **A** in 2006 was 90 million and in 2015 it was 94 million.

a. Explain any TWO possible reasons for the changes in the pattern of employment between 2006 and 2015 in country **A**. (4 Marks)

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b. Identify any THREE types of businesses given in the table below. (3 Marks)

S. No.	Scenario	Type of Business
i	Ms Zubaida has opened a restaurant in the city centre.	
ii	Alpha Co-operation has just floated their shares in the market to generate investments.	
iii	Mr Ahmed and Mr Basit are two friends who have started a business of mobile application software.	
iv	Mr Mirza and Mr Rashid have decided to merge their food business into a single entity and have agreed that no further shares of the business would be sold.	

Q.2. (Total 5 Marks)

a. Sketch an organisational chart in the space below that might be appropriate for a public limited company having its operations in different parts of a country.

[**Note:** Your organisational chart should have atleast THREE levels of hierarchy.]

(3 Marks)

Space for organisational chart

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b. Using the organisational chart made in part (a), explain (2 Marks)

i. Chain of command

_____

_____

ii. Span of control

_____

_____

Q.3. (Total 7 Marks)

a. Explain the meaning of the term 'economic recession'. (2 Marks)

b. A furniture business is facing severe financial problems due to economic recession.

Explain how economic recession affects the furniture business. (3 Marks)

c. The manager of a business has advised the owner to reduce the cost of production in order to minimise the impact of economic recession.

Discuss any TWO measures that can help the owner to reduce the cost of production. (2 Marks)

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Q.4. (Total 6 Marks)

a. Fatima has a bank account which allows her an overdraft facility of Rs 100,000. She opted to utilise this facility for buying supplies worth Rs 80,000.

i. Identify the nature of overdraft with reference to account heads. (1 Mark)

ii. Explain the treatment of this overdraft in the Statement of financial position (Balance sheet) and the Income statement. (2 Marks)

b. Zameer is a sole trader. He has provided the following details of profit and loss for a period of four months from January to April 2017.

Complete the given table by calculating the missing figures with reference to Income statement. (3 Marks)

Particulars	January	February	March	April
Revenues (Rs)	180,000	118,000	**?**	69,000
Expenses (Rs)	135,000	**?**	85,000	96,000
Profit or Loss (Rs)	45,000	-12,000	33,000	**?**

Space for working

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Q.5. (Total 6 Marks)

a. AMR Limited is a Private Limited Company that produces shoes. The demand for their shoes is high; however, their sale is low because there are only a few outlets of AMR Limited in the cities. The directors of the company feel that good distribution channel is very important for increasing company's sales.

Discuss any THREE effects the increased channels of distribution will have on the sales of the company. (3 Marks)

_____

_____

_____

_____

_____

_____

b. Identify and explain the pricing strategy being used in each of the given scenarios. (3 Marks)

Scenarios	Pricing Strategy	Explanation
A new satellite television channel starts its broadcasting. It sets a very low price for annual subscription in order to get better TRP (target rating point) and once it is established, it plans to increase the subscription cost.		
A cell phone company launches a new smartphone with distinctive features which are not part of any existing set in the market. Initially, a high price is set but later the company reduces the price to capture a larger market share.		
A fast food outlet adjusts the prices of chicken burgers and beef burgers in response to the fall in food prices of a nearby fast food restaurant.		

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Q.6. (Total 3 Marks)

Mr Ahmed has completed his bachelors in Business Administration. He has started his internship in a newly formed private limited company. The director of the company has asked Ahmed to design a procedure for hiring an employee.

List any SIX steps involved in hiring process of an employee that Ahmed should keep in mind.

i. _____

ii. _____

iii. _____

iv. _____

v. _____

vi. _____

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Q.7. (Total 8 Marks)

EITHER

a. SAT Limited is a public limited company involved in the manufacturing of tyres. The company wants to purchase a new machine.

i. The directors of SAT Limited are looking at following modes of financing for the purchase of machine. (6 Marks)

I. Bank loan
II. Shares issuance
III. Lease

Explain ONE advantage and ONE disadvantage of each mode of finance mentioned above.

ii. If the company has been short of cash for the last six months which mode of finance would be the MOST appropriate in this scenario? And why? (2 Marks)

OR

b. Galaxy Limited is a company involved in manufacturing of school uniforms. They have a workforce of around 350 workers.

Recently, new laws have been passed by the government to protect rights of workers and consumers. The new laws are related to health and safety, terms and conditions of employment and consumer protection. Previously there were no such policies for consumer and employee protection.

In order to implement these laws, what measures or policies should be taken by Galaxy Limited? (8 Marks)

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Q.8. (Total 8 Marks)

EITHER

a. Discuss any FOUR ways in which financial information of a company is important for its owners and managers.

OR

b. Training is crucial for organisational development and success. It is fruitful for both employers and employees of an organisation.

Analyse any FOUR benefits of training for a business organisation.

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END OF PAPER

Please use this page for rough work

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